

CHAPTER 12

Special Factors in the Analysis of Railroad and Public-Utility Bonds

RAILROAD-BOND ANALYSIS

The selection of railroad bonds can be made a process of extreme complexity. The reports of the carriers to the Interstate Commerce Commission contain voluminous data on the financial and physical condition of the railroads, which supply material for elaborate analysis. A really thorough study of a railway report would devote attention to the following items, among others:

1. Financial:
 - a.* Composition and trend of operating revenue.
 - b.* Ratio of maintenance expenditures to gross.
 - c.* Relative amount and trend of transportation expenses.
 - d.* Character of "other income."
 - e.* Coverage for, and relative growth of, interest and other deductions.
2. Physical:
 - a.* Location.
 - b.* Amount of double and third track.
 - c.* Weight of rail.
 - d.* Character of ballast.
 - e.* Amount and capacity of equipment owned.
3. Operating:
 - a.* Character and density of traffic.
 - b.* Average haul and average rate received.
 - c.* Trainload.
 - d.* Fuel costs.
 - e.* Train- and car-mile operating costs.
 - f.* Maintenance charges per unit of equipment.